

# E-BUSINESS COURSE

Presented by:

Dr. Francis Kwadade-Cudjoe

PhD, MBA, BSc. (Hons), FIMIS(UK), FBCS(UK)

Strategy & IT Management Expert/Consultant

Senior & Adjunct Lecturer

# Agenda

1. What is e-commerce? What is e-business?
2. Architecture of an e-business system.
3. Internet business model & evolution.
4. Web development, structure & application – 7 major elements of web design.
5. Explain fundamental web site tools incl. dev/design tools, programming tools and data processing tools.
6. Marketing concepts, including marketing mix/marketing strategy – 4, 5 and 7Ps.
7. Identify the major electronic payment issues and options.
8. Security, ethical, legal, privacy & trust issues - security issues & procedures used to protect against security threats.

## cont. **Agenda**

9. Management issues underlying e-Commerce including organizational structure, strategic planning, goal setting, corporate social responsibility, international arena, changing market intermediaries, resource allocation and customer service.

# Why Companies go E-Commerce?

Companies have utilized the Internet, e-business and e-commerce in order to go global, increase sales and reduce costs.

With e-business, companies can web-enable their products and services.

However, transition to e-business solutions can be challenging and careful planning is always required.

# Activities of E-Business & E-Commerce

Companies are utilizing online benefits not only to stabilize but also to expand their market share in the global community.

Thus, companies are changing to e-business with the help of e-solutions providers.

The providers sell complete services to help companies do their planning and accounting for online purchasing through interactions and transactions, using electronic format to fulfil customers' needs.

# cont. **Activities of E-Business & E-Commerce**

Current literature reveals that it is NOT easy or cheap to switch to e-business.

This is due to the fact that adding the Internet, e-business and e-commerce transactions would make a company undergo metamorphosis of changes with the associated challenges in order to be able to have e-commerce revenues.

# What is Strategy?

## **The origin of Strategy**

The military connections remind us of the source of Strategy – ‘The Art of War’, according to Sun Tzu, a Chinese General who 2,500 years ago put together a structured approach for achieving the objective of prevailing in war. The word ‘Strategy’ has since been adopted in modern business thinking.

## cont. **What is Strategy?**

Strategy is about what needs to happen to achieve something. It is not about why, it is not about creating a Vision or Purpose or Reason for Being.

Strategy is about **what** - what needs to happen to take an organisation from where it is currently to where it wants to be.

Once the strategy is established, it can then be determined how the strategy will be implemented.

Strategy therefore, is about **what** to do to take an organisation from where it is currently to where it wants to be.

## cont. **What is Strategy?**

Strategy is a method or plan chosen to bring about a desired change within a certain period, such as achieving an organizational goal / objective or solution to a problem.

It can also be the art and science of planning, organising & executing activities on resources available, efficiently and effectively, to achieve organizational goals.

In effect, strategy is knowing the resources at the disposal of the organization, then agreeing & executing activities on these resources so as to achieve the goals / objectives of the organization.

# Resource

**Resource:** This is an important/essential item that could be used to perform an activity to achieve organizational goals / objectives.

Examples: land, time, expertise, human, building, technology, vehicle, money, data & Information.

# 3 Strategies to Discuss

1. Corporate Strategy
2. Business (Competitive) Strategy
3. E-Business Strategy

# 1. Corporate Strategy

Corporate Strategy of an organization deals with the processes, guidelines and methodologies used in implementing business functions, so as to build a successful corporate image.

The Strategy is developed from the activities to be performed on organizational resources to enable the achievement of goals of the organization.

## cont. **Corporate Strategy**

In effect, corporate strategy is developed from knowing the resources at the disposal of the organization and agreeing on processes, guidelines & methodologies to perform on the resources (this gives out the plan), so as to achieve the objectives / goals of the organization.

# Corporate Planning

**Corporate Planning is of 3 Forms. These are:**

- 1.Strategic,
- 2.Tactical, and
3. Operational.

## cont. **Types of Planning**

1. **Strategic:** This is the longterm corporate plan of achieving organizational goals. Duration is normally of 4 or more years. E.g. building a Cathedral in Ghana.
2. **Tactical:** This is the middle term corporate plan of achieving organizational goals. Duration is between 2 and 4 years. E.g. getting a job in 2 years' time.
3. **Operational:** This is the daily corporate plan of achieving organizational goals. The plan is for daily organizational activities. E.g. producing ladies' shoes on Mondays by the Kumasi Shoe Factory and that of children on Tuesdays.

# Areas of Organizational Corporate Strategy

**i. Growth** – where the organization wants to develop in different areas, either overall or specific areas, such as sales and revenue.

However, the growth could be achieved through concentration (core of the business, eg. sales of more meat) or diversification (expansion of the business by entering more markets).

**ii. Stability** – this refers to the organization strengthening its position in its current market/industry, because of already being successful there.

It would therefore invest more capital, such as investing in customer satisfaction with advertisements and goodies.

# cont. Areas of Organizational Corporate Strategy

iii. **Re-invention** – this is when the organization redesigns a unit of the business that is old and irrelevant and therefore, not performing well.

The new design might include 'Process redesign / reengineering' or introduction of technologies (computer machines), which may involve conversion from physical to online/virtual business.

# cont. Areas of Organizational Corporate Strategy

**4. Retention** - The retrenchment strategy encourages the company to change paths to improve the business. This might mean switching business models or changing markets.

The goal of this is to reduce or manage parts of the business that don't work for the company. A company might achieve this by either switching the business's pathway or by removing parts of the business.

For example, if a product line is decreasing company sales, the product management team might remove the line to save profit.

## 2. Business (Competitive) Strategy

Business/Competitive strategy of an organization determines the approach/plan the entity uses to market its products & services to consumers. The Market approach by Michael Porter has 4 Generic Types:

1. **Cost Leadership** - The strategy is ultimately built and maintained by offering acceptable & quality products/services at a lower cost than competitors - E.g. Emirate Airline & Dell computer systems.
2. **Differentiation** - By offering products/services that are perceived to be unique and of quality, relative to some important consumer characteristics. E.g. British Airways & IBM/Lenovo computer systems.

## cont. **Competitive Strategies**

3. **Niche Focus** – This is the adoption of either the **Cost Leadership** or **Differentiation** strategy but targeted at a narrow-based segment of the market. E.g. African World & Star Bow Airlines, which fly within the West Coast of Africa.
4. The 4<sup>th</sup> strategy is the combination of **Cost Leadership and Differentiation** tactics. E.g. Delta Airline.

# Competitive Advantage

An organization can only achieve competitive advantage when it adopts a competitive strategy in the industry or market it operates and is able to sell more products / services to consumers than competitors.

Competitive advantage is therefore, defined as a search for a favourable competitive position in an industry that aims to establish a profitable and sustainable position against the environmental forces that intensify industry competition.

Thank you for the  
Audience!!!